



“We recommend investors make diversified funds the core of their portfolios, complemented by limited sectoral exposure”

D.P. SINGH
DEPUTY MD & JOINT CEO,
SBI MUTUAL FUND



“This phase will be defined by stock selectivity and disciplined allocation. Broad rallies are behind us, which makes bottom-up investing critical”

CHANDRAPRAKASH PADIYAR
SENIOR FUND MANAGER,
TATA MUTUAL FUND

unpredictable. That’s why flows are now moving to diversified categories like flexi-cap and multi-cap funds, which are best suited as ‘core holdings’ for investors” says Aashish Somaiyaa, CEO, WhiteOak Capital MF.

Diversified equity funds, unlike single-theme or single-cap strategies, invest across sectors and market capitalisation. Within this umbrella, flexi-cap, multi-cap, and large & mid-cap funds each play distinct roles.

A flexi-cap fund gives fund managers the flexibility to adjust allocations across large, mid, and small-cap stocks depending on market conditions. In contrast, a multi-cap fund is required to maintain at least 25% in each of these three segments, offering a more structured approach with less room for flexibility. Meanwhile, large and mid-cap funds must allocate a minimum of 35% to both large and mid-cap stocks, striking a balance between stability and growth.

A multi-cap fund works with set allocation features, whereas a flexi-cap allows the investment team to move freely between segments. Whenever valuations move materially higher in one part of the market, flexi-cap funds can rebalance. When valuations are fair across segments, multi-cap funds work well. Over a decade, both can deliver similar outcomes but with different paths.

For fund managers, this phase is about selectivity and discipline. Opportunity now lies across caps, but one must tread with caution. “Our flexi-cap strategy is designed to be truly dynamic,” says Padiyar. “Currently, we hold around 48% in large caps, 24% in mid caps, and 24% in small caps. Large caps appear fairly valued, while within mid and small caps, we’ve used the recent correction to add high-quality names.”

Sorbh Gupta, Head, Equity, Bajaj Finserv MF, argues that diversified equity strategies give fund managers the flexibility to navigate uncertainty. “They allow us to adjust allocation as leadership changes. There’s always a segment offering value while others are overheated. That dynamic approach is the real strength of diversified funds.”

At Kotak Mahindra Mutual Fund, Harsha Upadhyaya, President and CIO Equity, favours large caps. He believes that diversified funds help investors avoid the pitfalls of narrow themes. “If you invest in a single-sector fund, your outcome depends entirely on that one theme. In a diversified portfolio, the manager can rotate exposure as market leadership shifts, something sectoral funds can’t do.”

For product strategists in asset management companies, the resurgence of diversified funds is also about simplicity. Most investors struggle to decide how much to put in large, mid, or small caps. “A flexi-

AN OVERVIEW

FUND CATEGORY	FLEXI-CAP FUNDS	MULTI-CAP FUNDS	LARGE- & MID-CAP FUNDS
NO. OF SCHEMES OUTPERFORMING/ TOTAL SCHEMES	18/40	10/27	14/30
BENCHMARK	BSE 500	VR MULTICAP TRI	BSE LARGE MID CAP TRI
% OF SCHEMES OUTPERFORMING	46%	37%	47%

SOURCE VALUE RESEARCH